

to COT—capacity expansion, outreach, and technology advancement,” he says.

Finance ministry officials point out that now the focus is on value creation, rather than lining PSUs up for stake sales and seeking high dividends. “The main aim was to professionalise them and their operations so that they can compete with the private sector,” says an official source, adding that efforts were also made to listen to and address their problems. “There is also a continuous review of their position in terms of Miniratna, Navratna and Maharatna, as well as future planning of their performance,” the source explains.

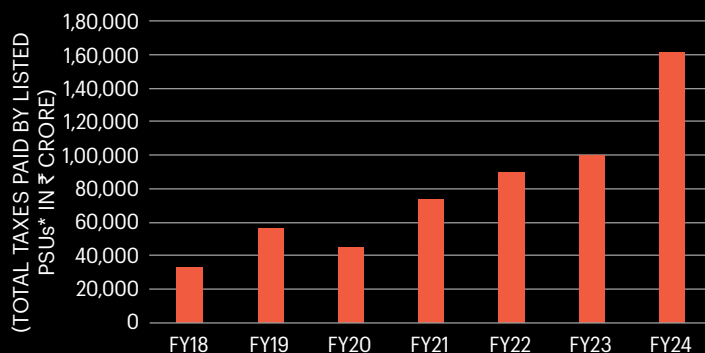
In fact, on August 30, the government approved the upgradation of four more central public sector enterprises (CPSEs)—RailTel Corporation, Solar Energy Corporation of India, SJVN, and National Hydroelectric Power Corporation—to Navratna status, taking the number of such PSUs to 25. Navratna status is bestowed on top-performing PSUs, and they are permitted to undertake investments of up to ₹1,000 crore without the approval of the central government.

Finance Secretary Tuhin Kanta Pandey, also Secretary at the Department of Investment and Asset Monetisation (DI-PAM) who holds charge of the Department of Public Enterprises as well, explained the government’s strategy at an earlier interaction, adding that it looked at PSUs’ performance standards and added new criteria to it. “Also, we looked at how the management perceives its role and we said that only revenue generation is not adequate; other criteria such as profitable growth, bottom line, top line, Ebitda margin rate, return on capital employed, return on equity (RoE), [and] asset turnover ratio are also important as these are very relevant from the point of view of shareholders,” he had said.

Pandey said PSUs must strive for a consistent dividend policy, which is not aimed just at maximising dividends but also ensures that there is sufficient capital to plough back into the business. “These are the brass tacks or fundamen-

A SUBSTANTIAL CONTRIBUTION

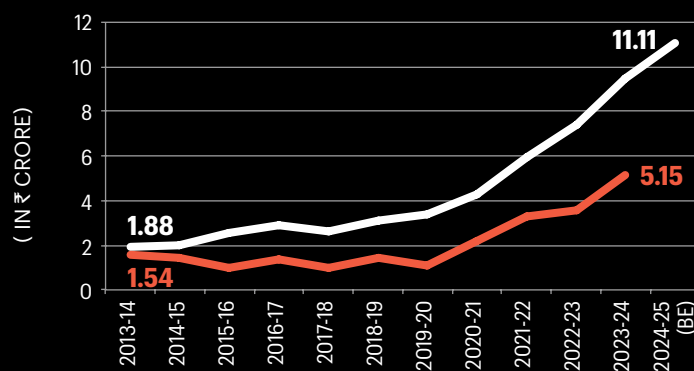
● PSUs have significantly contributed to the government’s coffers, with more than ₹1.6 lakh crore of taxes being paid by them in FY24



*54 COMPANIES THAT ARE PART OF THE BSE PSU INDEX AND FOR WHICH DATA IS AVAILABLE HAVE BEEN CONSIDERED **SOURCE** ACE EQUITY

CAPITAL GAINS

● Higher capex bodes well for the profitability of PSUs



● CAPEX BY CENTRAL GOVERNMENT
● TOTAL PAT OF PSUs ON THE BSE PSU INDEX

BE BUDGET ESTIMATES **SOURCE** ACE EQUITY, CMIE

cation of that performance to the market are also critical factors,” he underlined. “If we do not value their (PSUs’) contribution as majority shareholders, how do we expect minority shareholders to value them?”

In a reflection of their robust performance, PSUs have already paid ₹16,099.85 crore as dividend to the central government this fiscal.

The domestic economic momentum and the focus on capital expenditure are also seen as growth drivers for several CPSEs. K. Sadashiv Murthy, Chairman & MD of Bharat Heavy Electricals Ltd (BHEL), in the company’s annual report for 2023-24, highlighted domestic economic momentum as one of the growth boosters for BHEL. “The Indian economy, supported by domestic demand, consistent policy measures, and infrastructure development, is growing steadily, creating business opportunities. Your company has seized these opportunities, achieving its highest ever order book in FY24, with significant growth in both power and industry segments,” he wrote in a letter to shareholders.